



TastyBytes Pricing&Profitability Analysis (2023–2025)

Business Intelligence Report

Business Objectives

Problem Statement : TastyBytes, a food delivery app has observed **some products generate low profit** despite high sales, while others contribute significantly to the bottom line. This analysis aims to identify the low-profit products and recommend strategies to **optimize product pricing and promotions** to maximize profitability without losing customers.



Product Identification

Identify High-Profit and Low-Profit Products



Discount Impact

Analyse the impact of Discount and Promotions on Profit Margin.



Profit increasing Strategies

Recommend Pricing & Discount strategies to increase profit margin

Executive Summary

Key Findings

-  Discount resulted in 2.67% decrease in profit margin.
-  Chicken Biryani, Butter Chicken and Chicken Nuggets generates high revenue (500K) but low profit
-  Green Tea, Masala Chai and Samosa generates higher profit even with higher discount due to low cost of production (<15K)
-  Chicken products suffer low profit due to the higher cost of production
-  French Fries and Lemonade generate moderate revenue with higher profit
-  Sales of majority of the products (except 5) do not rise with discount indicates price-inelastic demand

Dataset Overview

About the Data

This analysis is based on a orders dataset from *TastyBytes*, a food delivery app operating in multiple cities. The dataset captures order details such as order date, product name, category along with customer information for a 2-year period.

 **Time Period:** July 2023 – July 2025

 **Records:** 5,000 unique orders

 **Attributes:** 11 columns

 **Food category:** 3(Beverages, Meals, Snacks)

Approach: *Data cleaning → EDA → KPI analysis → Insights → Strategic recommendations*

Tools : *Power BI*

Assumptions:

- Profit = Revenue - Cost (delivery excluded)
- Discount cap at 25% (policy)
- Customer sensitivity threshold: 10% price change
- Synthetic data — real-world validation required

Key performance Indicators



₹1.41M

Total Revenue



56.2%

Profit Margin



645

Units Sold Per Product



2.67%

Discount Impact on Profit



6.23%

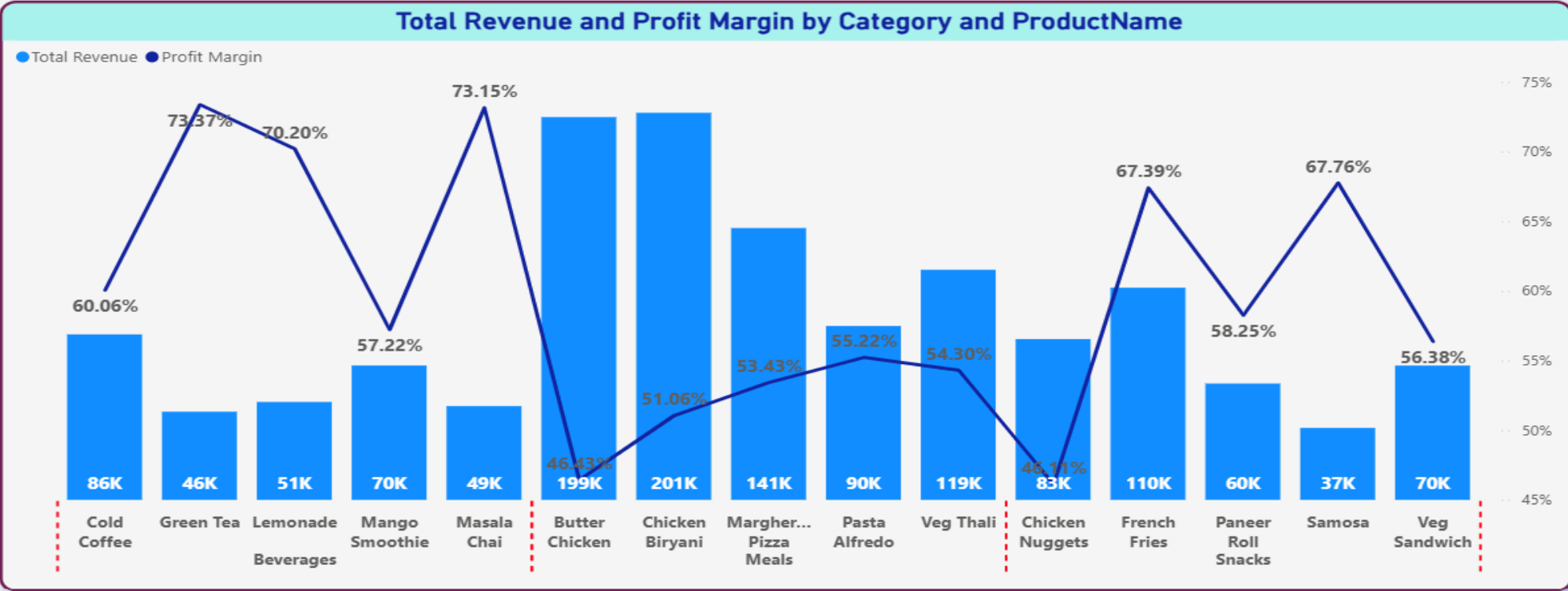
Average Discount



₹282.4

Average Order Value

Butter Chicken & Chicken Biryani generates Highest Revenue but Lowest Profit



Green Tea & Masala Chai shines in Beverages

- Green Tea & Masala Chai are high profit generators with more than 73% profit margin
- Cold Coffee and Mango Smoothie generate higher revenue with average profit margin of 58.5%



Meals - The profit eater

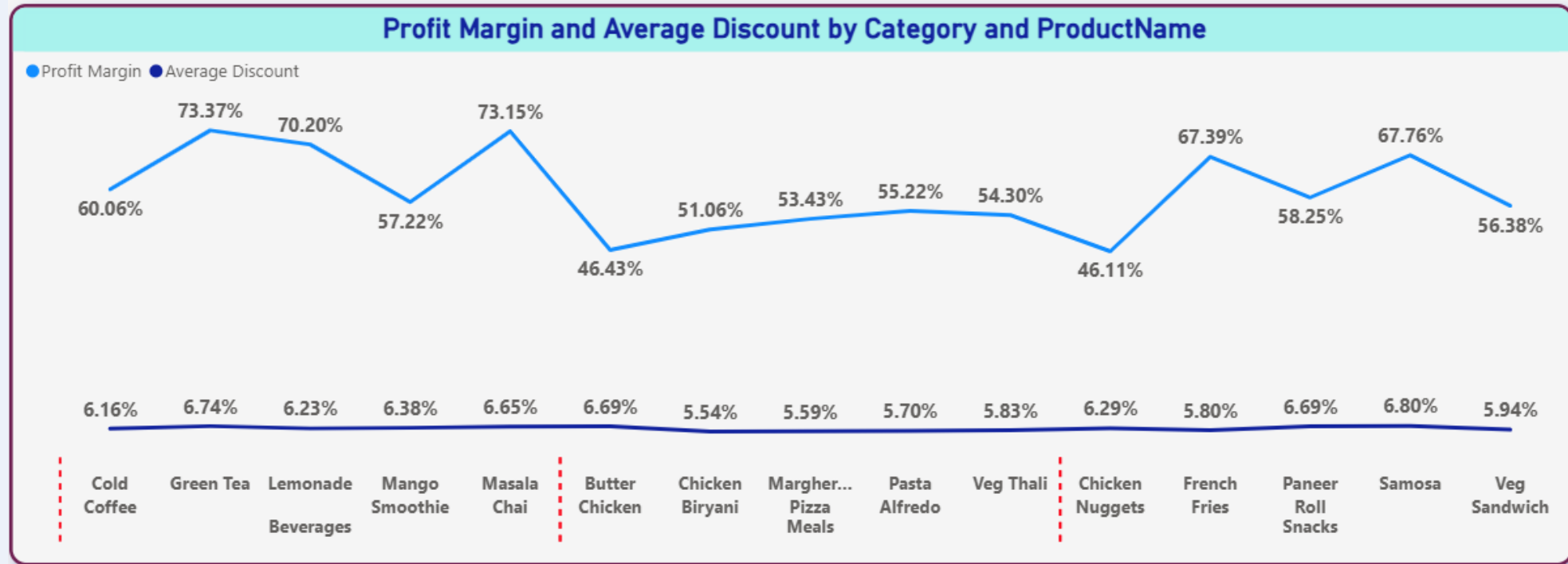
- Despite being the highest contributor for the revenue, Meals generate 51.3% profit
- Chicken Biryani & Butter Chicken are best sellers with a total of 400K revenue but average profit margin is 48.5%



French Fries - The Allrounder

- French Fries is the perfect balanced food product with 110K revenue and 67.4% profit
- Chicken Nuggets drags profit (46%) despite of generating a moderate revenue
- Despite being high profit product (67.76%) Samosa generates lowest revenue

Green Tea, Masala Chai and Samosa breaks the rule Higher Discount = Lower Profit



Key Insights and Recommendations



The profit margin of Mango Smoothie, Butter Chicken, Chicken Nuggets and Paneer Roll is affected by higher discount rates (>6.3%) even though they generate moderate to high revenue



Despite being highly discounted products (>6.6%) Green Tea, Masala Chai and Samosa still generate high profit



Lemonade and French Fries generate higher profit (>67%) with a moderate discount (5.8 – 6.2%)

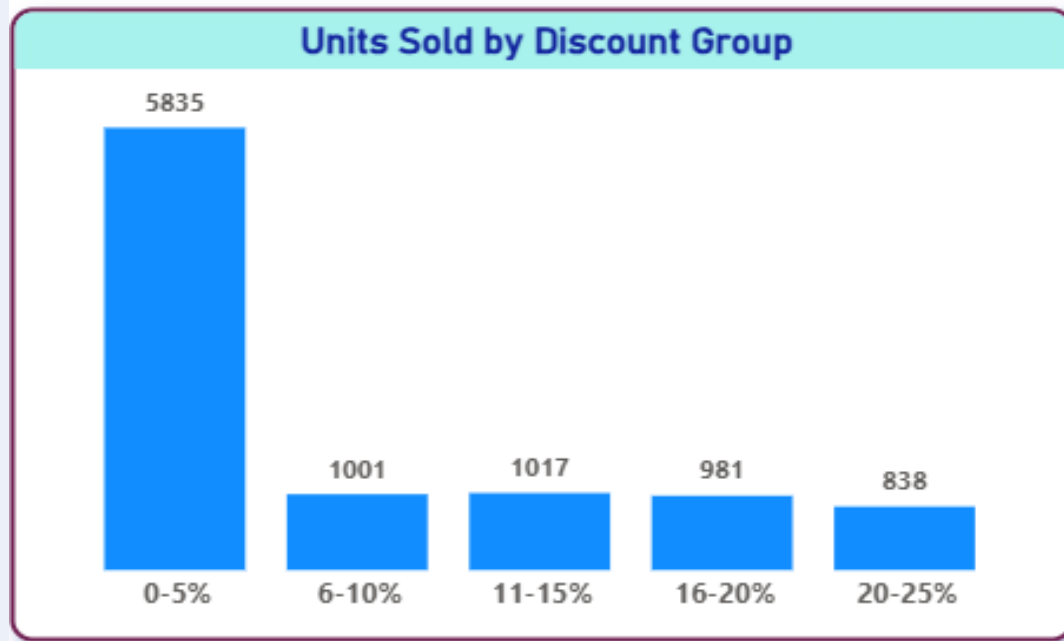


Reduce average discount for Mango Smoothie, Butter Chicken, Chicken Nuggets and Paneer Roll by 0.5-1%. Instead provide some combo offers to maintain sales



Maintain the lower cost of production for Green Tea, Masala Chai and Samosa to generate higher profit

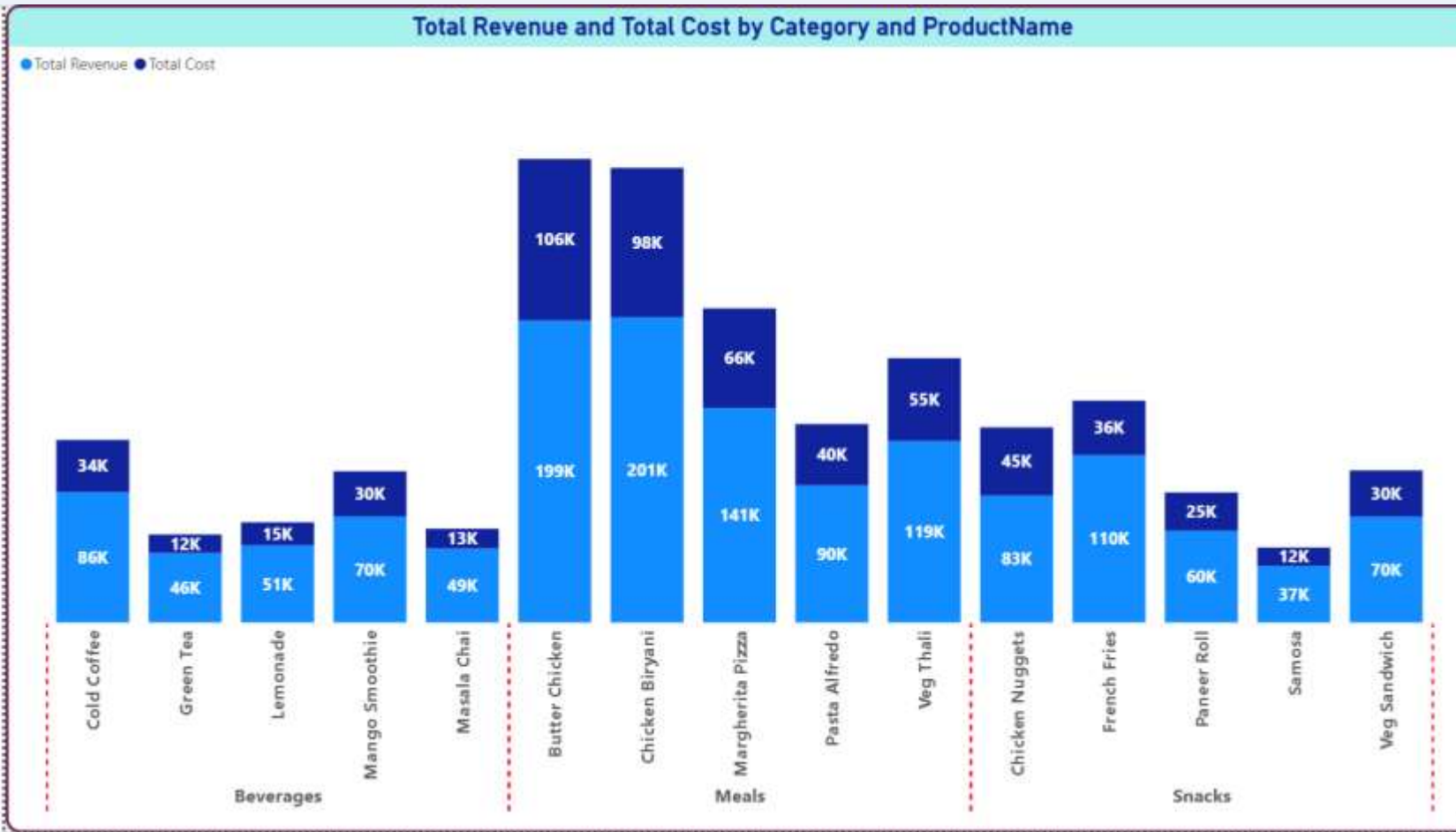
Higher discount ≠ Higher Sales



Key Insights and Recommendations

- ✗ Revenue concentration in the 0-5% discount tier combined with flat quantity across higher discount tiers (6-25%) indicates price-inelastic demand — validating a controlled price increase strategy.
- 🍴 Only for Butter Chicken, Pasta Alfredo, Green Tea, Chicken Nuggets and Veg Sandwich, there is slight increase in orders for discount range 16-25% when compared to discount range 6-15%
- 💰 Increase the price of the products whose sales did not increased by high discounts by up to 10% to increase profit margin by 5-10%
- ⚠ For products with slight increase in orders for higher discount, increase the price by 5% to increase profit margin by 4-5%

Profit Margin is strongly affected by cost of production



- Higher profit margin of Green Tea, Masala Chai and Samosa is backed by **low cost of production (< 15K)**
- **Cost of production of Butter Chicken and Chicken Biryani is higher** which results in lower profit margin
- Identify the factors contributes for high cost of production for Chicken Biryani and Butter Chicken and implement **cost reduction techniques to reduce it by 10%**

Strategic Recommendations



Quick Wins

- Introduce exclusive combo offers for Chicken Biryani, Butter Chicken and Chicken Nuggets which reduce the average discount indirectly by 1-2%, thereby increase profit margin by 2-3%
- Increase the price of the products whose sales is independent of increased discounts by 10% to increase profit by 5-10%
- Launch bundle offers with **French Fries and Lemonade** to reduce average discount by 1-2%, thereby increase profit margin by 1-2%



Long term Strategy

- Investigate the factors which contributes to the rising cost of products involving chicken which in turn reduces profit margin of **Chicken Biryani, Butter Chicken and Chicken Nuggets. Take actions to reduce cost by 8-10%** via supplier negotiation and portion optimization **which increase profit by 2-3%**
- Launch bundle offers for Beverage products which indirectly **reduce average discount by 1-2%**, thereby increase profit margin by 1-2%
- Increase the price of the products whose sales marginally depend on increased discount by 6-8% to increase profit by 3-6%

Expected Business Impact



Increased profit margin (3-5%) for **low-profit products** such as **Butter Chicken, Chicken Biryani & Chicken Nuggets** by reduction in discount and production cost



Increased profit margin (5-10%) for **high-profit, low-cost** products such as **Green Tea, Masala Chai & Samosa** by increase in price by up to 10% and slight reduction in discount



Increased sales (4-5%) of popular products such as **Lemonade and French Fries** by bundle and combo offers



Thank You

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Submitted to: Senior Management - TastyBytes